

DINO POLSKA S.A.

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2022
ALONG WITH THE INDEPENDENT STATUTORY AUDITOR'S AUDIT REPORT

Krotoszyn, 23 March 2023

This document is an unofficial translation of the official Financial Statements of Dino Polska S.A. for 2022, which have been published in the xHTML format and signed by the Management Board Members of Dino Polska S.A. using qualified electronic signatures.

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(in thousands of PLN)

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INTRODUCTION TO THE FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Dino Polska S.A. ("Company") was established by notary deed on 9 November 2007.

The company is entered in the register of commercial undertakings of the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The Company has been given the following statistical number: REGON 300820828 and the following taxpayer ID number (NIP): 6211766191.

The Company's registered office is located at the following address: ul. Ostrowska 122, 63-700 Krotoszyn.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,

These financial statements have been prepared for the year ended 31 December 2022.

2. GOING CONCERN ASSUMPTION

The Company's financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 31 December 2022. As at 31 December 2022, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 31 December 2022, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 31 December 2022. As at the balance sheet date the Company has unused lines of credit for PLN 449 million that can be used to manage the Company's liquidity. Issues related to liquidity are presented in Note 47.

3. MERGER OF COMMERCIAL COMPANIES

In the financial year for which the financial statements were drawn up, the Company did not merge with a subsidiary, nor did it purchase any organized part of any enterprise.

4. ADOPTED ACCOUNTING PRINCIPLES (POLICIES)

4.1. Format and grounds for drawing up the financial statements

The financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act").

The financial statements have been prepared under the historical cost convention.

The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

4.2. The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting

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Introduction to the financial statements

standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- Determination of the residual value of fixed assets,
- Separation of components and determination of depreciation charges for the actual periods of use,
- Retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- Recognition of fixed assets and lease liabilities under IFRS16.

The table below depicts the differences as at 31 December 2022:

(in thousands of PLN)

	31.12.2022	31.12.2022	31.12.2022
Adjustments	Carrying amount according to PAS	Carrying amount according to IFRS	Value adjustment
Property, plant and equipment	4,590,202	4,514,893	(75,309)
Right-of-use assets	-	254,079	254,079
Intangible assets	18,880	29,492	10,612
Deferred tax assets	89,616	-	(89,616)
Total non-current assets	5,454,529	5,554,295	99,766
Total assets	8,301,811	8,401,577	99,766
Equity	3,202,010	3,196,711	(5,299)
Lease liabilities	360	103,576	103,216
Deferred tax liability	92,555	1,194	(91,361)
Total provisions and non-current liabilities	1,008,862	1,020,717	11,855
Trade and other payables	3,449,472	3,350,024	(99,448)
Lease liabilities	2,720	95,931	93,211
Income tax liabilities	-	99,447	99,447
Total provisions and current liabilities	4,090,939	4,184,149	93,210
Total liabilities and equity	8,301,811	8,401,577	99,766

Table depicting the effects of the disclosed differences in net profit and equity:

Equity according to PAS	3,202,010
Adjusted depreciation and amortization on account of residual value	1,272
Adjusted depreciation and amortization on account of the separation of components	(7,082)
Adjustment - amortization of trademarks	8,596
Adjustment - lease of fixed assets (IFRS 16)	(8,085)
Equity according to IFRS	3,196,711
Net profit according to PAS	894,586
Adjusted depreciation and amortization on account of residual value	(96)
Adjusted depreciation and amortization on account of the separation of components	(3,094)
Adjustment - amortization of trademarks	781
Adjustment - lease of fixed assets (IFRS 16)	986
Actuarial gains/losses pertaining to employee benefits	(1,506)
Net profit according to IFRS	891,657
Other comprehensive income	1,506

The presentation of some line items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's

best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 31 December 2022 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards, it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

4.3. Intangible assets

Intangible assets are recognized if it is likely that they will precipitate receipt of economic benefits by the Company which may be directly linked to these assets. Intangible assets are initially captured at purchase price or production cost. After the initial capture, intangible assets are carried at purchase price or production cost minus accumulated depreciation and impairment charges. Intangible assets are depreciated by straight-line depreciation over the period corresponding to the estimated period of their useful life.

The anticipated period of useful life is as follows:

Patents, licenses and trademarks	2 - 20 years
Software	2 - 7 years

The estimates of the period of useful life and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by these intangible assets.

As at the balance sheet date, the Company evaluates whether the carrying value of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying amount of the assets is reduced to the net sale price level. Impairment losses are posted in other operating expenses.

4.4. Fixed assets

Fixed assets are carried at purchase price or production cost minus accumulated depreciation or impairment charges. In the case of perpetual usufruct right to land, the purchase price is construed as the price of purchase of the right from a third party or surplus of the first fee over the annual fee if the right was acquired for a fee from the municipality. Land is carried at purchase price minus any impairment charges.

As at 31 December 2022 the Company had no fixed assets subject to revaluation.

The costs incurred after commencing the usage of a fixed asset, such as the costs of repair, inspections and user fees, affect the financial result of the financial year in which they were incurred. However, if it is possible to prove that these costs increased the expected future economic benefits on account of holding the fixed asset, surpassing the benefits assumed originally, then they increase the initial value of the fixed asset.

Fixed assets, with the exception of land, are depreciated by using the straight-line method corresponding to the expected period of their useful life or over the shorter of the two periods:

Perpetual usufruct right to land	Not depreciated
Buildings, premises, rights to premises and civil and marine engineering facilities	10 - 40 years
Technical equipment and machinery	3 - 12 years
Means of transport	5 - 7 years
Other fixed assets	3 - 12 years

The estimates of the period of useful life and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by that fixed asset over time.

As at the balance sheet date, the Company evaluates whether the carrying amount of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying amount of the assets is reduced to the net sale price level. Impairment losses are posted in other operating expenses.

4.5. Fixed assets under construction

Fixed assets under construction are carried at the total amount of costs directly related to their purchase or manufacture, including financial expenses, minus impairment charges. Investment materials are also shown in fixed assets under construction. Fixed assets under construction are not depreciated until their construction is completed and they are commissioned.

4.6. Related entities

The Company construes related entities as two or more companies from a group where a group is understood as a parent company together with its subsidiaries.

4.7. Investments in subordinated entities, capital exposure and other non-current investments

Investments in subordinated entities comprise investments in subsidiaries, co-subsidiaries and affiliates. The Company construes subsidiaries as entities controlled by the Company, co-subsidiaries as entities under joint control by the shareholders under a shareholder agreement, and affiliates as entities in which it has capital exposure and on which it has significant influence. At the same time exposure to capital of another entity is understood by the Company as any share in the equity of such other entity that has the nature of a permanent relation. In the case of an affiliate, a permanent relation is present always unless disposal of the share soon after the date of its acquisition, purchase or obtaining in another form is highly probable.

Investments in subsidiaries, co-subsidiaries and affiliates are carried at historical cost minus any impairment.

Other non-current investments (excluding financial assets as described in note 4.8) are carried at historical cost minus any impairment.

Impairment of shares in subordinated entities and other non-current investments is estimated as at every balance sheet date. The carrying amount of such assets is each time reviewed to determine whether or not it exceeds the value of future economic benefits.

4.8. Other current investments (excluding cash and financial assets)

Other current investments, except for cash and financial instruments, are marked to the lower of the market price (value), while current investments for which there is no active market, are carried at fair value.

The effects of reducing the value of current investments measured at market prices (values) are posted as a financial expense in their full amount, while the effects of their growth are posted to financial income up to an amount no higher than the total difference previously written off as financial expenses.

4.9. Financial assets

Financial assets, at the time they are entered in the accounting ledgers, are carried at cost (purchase price) constituting the fair value of the amount paid. Transaction costs are included in the initial value of the financial instruments. Financial assets are posted in the accounting ledgers as at the transaction date.

After the initial recognition, financial assets are classified in one of the four categories and measured as follows:

<i>Category</i>	<i>Valuation method</i>
1. Financial assets held to maturity	At the adjusted purchase price (amortized cost) calculated using the effective interest rate
2. Loans granted and own receivables	At the adjusted purchase price (amortized cost) calculated using the effective interest rate. Receivables with a short-term maturity, for which no interest rate was defined, are carried at the required payment amount

- | | |
|--|--|
| 3. Financial assets held for trading | At fair value and gains/losses on their revaluation are posted to the profit and loss account |
| 4. Financial assets available for sale | At fair value, while gains/losses on their revaluation are recognized in the profit and loss account until the investment is sold or its value is impaired. At that moment, the overall revaluation gain/loss is recorded in the profit and loss account |

The fair value of financial instruments traded on an active market is calculated in reference to the prices quoted on that market as at the balance sheet date. If no market price is quoted, then the fair value is estimated on the basis of a quoted market price of a similar instrument or according to the expected cash flows.

Impairment of financial assets

As at every balance sheet date, the Company evaluates whether there is objective evidence indicating impairment of a financial asset or a group of financial assets. If such evidence exists, the Company determines the asset value that may be estimated to be recoverable and posts an impairment loss in the amount of the difference between the recoverable amount and the carrying amount.

Impairment losses concerning a single financial asset or a portfolio of similar financial assets are determined:

- 1) for financial assets carried at adjusted purchase price – as the difference between the value of such assets resulting from the accounting ledgers as at the valuation date and the recoverable amount. The recoverable amount is the present value of future cash flows expected by the entity, discounted by the effective interest rate applied hitherto by the entity in its valuation of the financial asset being revalued or the portfolio of similar financial assets being revalued,
- 2) for financial assets carried at fair value – as the difference between the purchase price of the relevant asset and its fair value determined as at the valuation date, where the fair value of debt financial instruments as at the valuation date is construed as the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments. Accumulated loss captured hitherto in revaluation capital is posted to financial expenses in an amount of no less than the charge minus the part directly posted to financial expenses,
- 3) for other financial assets – as the difference between the value of the relevant asset resulting from the accounting ledgers and the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments.

4.10. Leases

The Company is a party to leasing agreements pursuant to which it accepts third party fixed assets or intangibles to use them or draw benefits from them against a charge for an agreed period of time.

In the case of lease agreements which transfer generally the entire risk and all benefits resulting from holding the assets subject to the agreement, the leased item is presented as a fixed asset in the balance sheet and at the same time a liability is posted in the amount equal to the present value of minimum lease payments set on the lease commencement date. Leasing fees are allocated to financial expenses and to the reduction of principal debt balance in a manner enabling the achievement of a fixed interest rate on the outstanding liability. Financial expenses are captured directly in the profit and loss account.

Fixed assets subject to a financial lease agreement are depreciated according to the method applied to own fixed assets. However, if there is no control over the moment of transfer of the ownership title to the leased item or certainty whether such transfer has been effected, then fixed assets used under financial lease agreements are depreciated over the shorter of the two following periods: the expected utilization period or the leasing period.

Lease payments for agreements that do not satisfy the conditions of being financial leases are recognized as operating expenses in the statement of profit or loss using the straight line depreciation method during the term of lease. Depending on the goal of using a leased object, lease payments are treated as operating expenses (including: overhead or sales) or other operating expenses.

4.11. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	at purchase price using the "first in, first out" method
Merchandise	at purchase price using the "first in, first out" method

The net realizable price is the estimated sales price that can be achieved in the course of the entity's normal business, minus discounts, rebates and other similar reductions and the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale. Moreover, in order to state in real terms the balance of inventories at the end of the reporting period, the Company sets up a provision for expected, though unidentified inventory losses based on the historical statistics for inventory differences identified in commercial facilities.

4.12. Short and long-term receivables

Trade receivables are shown as the amount of the required payment minus the impairment losses.

Receivables are revalued taking into account the probability of their payment, by posting an impairment loss. Impairment losses against receivables are carried to other operating expenses or financial expenses, respectively, depending on the type of receivables to which the impairment loss applies.

Receivables that have been forgiven, expired or are uncollectible reduce the impairment loss posted previously.

Receivables that have been forgiven, expired or are uncollectible, for which impairment losses were not posted or where they were posted at a less than full amount, are included in other operating expenses or financial expenses, respectively.

4.13. Transactions denominated in a foreign currency

Transactions denominated in currencies other than the Polish zloty are converted into Polish zloty at the exchange rate applied on the date of the transaction or, if it is impossible to apply such an exchange rate, at the average exchange rate announced for the relevant currency by the National Bank of Poland on the date preceding the date of the transaction.

As at the balance sheet date, the assets and liabilities denominated in currencies other than the Polish zloty are converted into Polish zloty using the average exchange rate in force on that date for the relevant currency as announced by the National Bank of Poland. The foreign exchange gains and losses resulting from such conversion are captured respectively as financial income or financial expense line items or, in the cases defined by the law, are capitalized in the value of assets.

The following exchange rates have been adopted for the purposes of the valuation:

	<i>31 December 2022</i>	<i>31 December 2021</i>
EUR	4.6899	4.5994
USD	4.4018	4.0600

4.14. Cash and cash equivalents

Cash at bank and in hand is valued at par value.

Cash and short-term deposits disclosed in the balance sheet include cash at bank and cash in hand, as well as short-term deposits with an original maturity of up to three months. The balance of cash and cash equivalents presented in the statement of cash flows consists of the aforementioned cash and cash equivalents.

4.15. Deferred revenue

The Company records accruals and prepayments of costs if they apply to future reporting periods. Accruals and pre-paid expenses are made at the amount of the probable liabilities for the current reporting period.

4.16. Share capital

Share capital is captured in the amount stated in the Company's articles of association and entered in the court register. If shares are subscribed for at a price exceeding their par value, the share premium is captured in

supplementary capital. The costs incurred for the issue of new shares decrease supplementary capital from the issue of shares above par value to the amount of such capital. Other costs are classified as financial expenses.

Any advances toward the dividend disbursed during the year are presented in the accounting ledgers and in the balance sheet as profit distributions made during the financial year.

4.17. Provisions

Provisions are recognized when the Company has an obligation (legal or constructive) resulting from past events and when it is certain or highly probable that the discharge of this obligation will cause an outflow of funds embodying economic benefits, and when the amount of the obligation may be reliably estimated.

4.18. Bank loans, other loans and financial liabilities held for trading

At the time of initial recognition, bank loans and other loans are carried at cost, corresponding to the value of received cash, taking into account the costs associated with obtaining the loan (transaction costs). Next, all bank loans and other loans, except for liabilities held for trading, are carried at adjusted purchase price (amortized cost) calculated using the effective interest rate.

Financial liabilities held for trading, including derivative instruments, are carried at fair value. Gains or losses on revaluation to fair value are posted to the profit and loss account for the current period.

4.19. Trade payables

Current trade payables are carried at the required payment amount. Trade payables in reverse factoring are presented in the line item "Trade payables" in current liabilities, provided that the reverse factoring has not caused a significant change in the terms of payment. The assessment of whether a fundamental change in the conditions of payment has occurred is the Management Board's judgment described in the section professional judgment of the financial statements.

4.20. Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset, i.e. one that requires a substantial period of time to get ready for its intended use, are capitalized as part of purchase price or production cost of that fixed asset. The Company holds no assets that require a substantial period of time to get ready for the intended use and therefore borrowing costs are not capitalized.

4.21. Deferred tax

Deferred income tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their carrying amount shown in the financial statements.

The deferred income tax provision is recognized with reference to all positive temporary differences unless the deferred income tax provision is recognized as a result of depreciating goodwill or initial presentation of an asset or liability in a transaction which does not constitute a business combination and at the moment of its execution has no influence on the gross financial result and taxable income or taxable loss.

The deferred income tax provision is recognized with reference to all positive temporary differences ensuing from investments in subsidiaries or associates, and interests in joint ventures, except for situations in which the timing and amounts of the temporary differences being reversed are subject to control or it is probable that the temporary differences will not reverse in the foreseeable future.

The deferred income tax asset is carried, with respect to all negative temporary differences and unused tax losses brought forward to the subsequent years, at such a probable expected taxable income amount as will make it possible to use those differences and losses unless deferred tax assets are created as a result of an initial presentation of an asset or liability component in a transaction that does not constitute a merger of entities and at the moment of its execution it has no influence on the gross financial result, taxable income or taxable loss.

In the case of deductible temporary differences associated with shares in subsidiaries or associates and interests in joint ventures, the related deferred tax asset is recognized in the balance sheet only for the amount of the taxable income, in respect to which it is probable that it can be expected to be generated in the foreseeable future (as a result of the reversal of these temporary differences) which would enable the deductible temporary differences to be offset.

The carrying amount of the deferred income tax asset is verified on every balance sheet date and is gradually reduced by the amount by which the achievement of taxable income sufficient for the deferred income tax asset is partially or fully realized.

Deferred tax assets and deferred tax liabilities are measured using tax rates that will be applied according to the regulations enacted up to the balance sheet date at the time when the asset is realised or the liability is settled.

Uncertainty related to tax settlements

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland.

GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Deferred tax assets and deferred tax provisions are presented separately in the balance sheet.

4.22. Recognition of revenues

Revenues are recognized in the amount to which it is probable that the Company will obtain the economic benefits which may be valued credibly.

4.22.1. Sales of merchandise and products

Revenues are captured when the significant risk and benefits arising from the title to the merchandise or products are transferred to the buyer. Revenues include due or obtained amounts from sales minus value added tax.

Revenues on sales of services are presented as revenues on sales of products. These revenues are recognized at the time of completion of the service. Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services), the Group presents as a deduction in cost of goods purchased from such vendors.

Settlement of revenue under contracts with suppliers

The Company enters into contracts with suppliers on whose basis rebates, discounts and additional remuneration and fees are awarded to the Company, hinging, among other things, on the volume of purchases and related to promotions and marketing. The Company recognizes the benefits derived from these contracts by subtracting them from the purchase price of merchandise from suppliers and accordingly a reduction in the cost of goods sold presented in the statement of profit or loss as cost of sales at the time of sale of the merchandise. The justified portion of the benefits received is allocated to unsold merchandise as at the balance sheet date as a reduction in the value thereof.

4.22.2. Interest

Interest income is recognized at the time it is accrued (using the effective interest rate) if its receipt is not doubtful.

4.22.3. Dividends

Dividends due are posted as financial income as at the date of adoption of the resolution, by the Shareholder Meeting of the company in which the entity has invested, to distribute the profit by way of a dividend unless the resolution specifies another dividend right day.

4.22.4. Subsidies and grants

Subsidies and grants are carried at fair value in situations where there is sufficient certainty that the subsidy will be obtained and that all the conditions necessary to obtain the subsidy will be fulfilled. If the subsidy or grant is related to a cost item, then it is deferred in the balance sheet and regularly captured in the relevant income item in a manner ensuring commensurability with the costs intended to be offset by the subsidy.

If the purpose of the subsidy or grant is to finance the purchase or manufacturing of a fixed asset, then it is deferred in the balance sheet and captured as income throughout the period of depreciation of the fixed asset.

4.22.5. Social assets and liabilities of the Company Social Benefit Fund (ZFŚS)

Pursuant to the Company Social Benefit Fund Act of 4 March 1994 (as amended), the Company Social Benefit Fund must be established by employers employing at least 50 employees on an FTE basis. The Company does not charge and does not have funds for the Social Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated text of 31 October 2013, as amended).

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Balance sheet

BALANCE SHEET

Assets

(in thousands of PLN)

	Note	As at 31.12.2022	As at 31.12.2021
A. Non-current assets		5,454,529	4,480,034
I. Intangible assets	6	18,880	21,486
3. Other intangible assets		18,880	21,486
II. Property, plant and equipment	7	4,590,202	3,637,916
1. Fixed assets		4,281,185	3,368,145
a) land (including the perpetual usufruct right to land)		849,728	705,731
b) buildings, premises, rights to premises and civil and marine engineering facilities		2,384,046	1,864,226
c) technical equipment and machinery		599,239	461,515
d) means of transport		144,738	96,825
e) other fixed assets		303,434	239,848
2. Fixed assets under construction		303,374	267,648
3. Advances towards fixed assets under construction		5,643	2,123
III. Non-current receivables		-	-
IV. Non-current investments		755,831	755,831
3. Long-term financial assets		755,831	755,831
a) In related entities	8.1	755,831	755,831
- ownership interests or shares		755,831	755,831
- other securities		-	-
V. Non-current deferred revenue		89,616	64,801
1. Deferred tax assets	26	89,616	64,801
2. Other deferred revenue		-	-
B. Current assets		2,847,282	2,084,410
I. Inventories	24	1,918,269	1,344,303
1. Materials		42,160	31,575
2. Semi-finished goods and work in progress		-	-
3. Finished products		-	-
4. Merchandise		1,876,109	1,312,728
II. Current receivables		335,969	199,230
1. Receivables from related entities	41	33,801	26,613
a) for goods and services with a term of payment:		32,993	4,723
- up to 12 months		32,993	4,723
b) other		808	21,890
2. Receivables from entities to which the company has equity exposure		-	-
3. Receivables from other entities		302,168	172,617
a) for goods and services with a term of payment:		128,176	81,284
- up to 12 months		128,176	81,284
b) on taxes, subsidies, customs duties, social security and health insurance or other public dues		39,477	37,412
c) other		134,515	53,921
III. Current investments		587,673	535,115
1. Current financial assets		587,673	535,115
a) In related entities	41	245,644	154,846
- other securities		-	-
- loans granted	8.2	241,876	154,393
- other current financial assets	8.2	3,768	453
b) in other entities		-	-
c) cash and other cash assets	34	342,029	380,269
- cash on hand and on accounts		87,792	117,673
- other cash		254,237	262,596
IV. Current deferred revenue	9	5,371	5,762
C. Contributions due to share capital		-	-
D. Treasury stock		-	-
Total assets		8,301,811	6,564,444

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Balance sheet

Equity and liabilities

(in thousands of PLN)

	Note	As at 31.12.2022	As at 31.12.2021
A. Equity		3,202,010	2,307,424
I. Share capital	10	9,804	9,804
II. Supplementary capital		2,267,272	1,676,055
III. Revaluation reserve (fund)		-	-
IV. Other reserve capital (fund)		-	-
V. Profit (loss) brought forward		-	-
VI. Net profit (loss)		894,586	591,217
VII. Other items of equity		30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)		-	-
B. Liabilities and provisions for liabilities		5,099,801	4,257,020
I. Provisions for liabilities	13	98,665	67,654
1. Deferred tax liability	26	92,555	61,372
2. Provision for pension and similar benefits		6,110	6,282
- non-current		5,240	4,426
- current		870	1,856
II. Non-current liabilities		911,067	923,671
1. To related entities		-	-
2. To other entities in which the company has equity exposure		-	-
3. To other entities	11	911,067	923,671
a) loans and borrowings		540,707	465,401
b) for issue of debt securities		370,000	450,000
c) other financial liabilities		360	8,270
III. Current liabilities		4,011,985	3,210,864
1. Liabilities to related entities	41	959,190	693,809
a) for goods and services with a term of being due and payable:		587,375	488,997
- up to 12 months		587,375	488,997
b) other		371,815	204,812
2. Liabilities to other entities in which the company has equity exposure		-	-
3. Liabilities to other entities		3,052,795	2,517,055
a) loans and borrowings	11	298,846	159,978
b) for issue of debt securities	11	260,947	171,642
c) other financial liabilities	11	2,720	13,410
d) for goods and services with a term of being due and payable:		2,101,120	1,857,181
- up to 12 months		2,101,120	1,857,181
e) advances received for supplies and services		-	-
f) liabilities for bills of exchange		-	-
g) on taxes, customs duties, social security and health insurance or other public dues		220,843	169,047
h) payroll		133,591	102,093
i) other		34,728	43,704
IV. Accruals and deferred revenue		78,084	54,831
1. Negative goodwill		-	-
2. Other deferred revenue	17	78,084	54,831
- non-current		-	-
- current		78,084	54,831
Total liabilities and equity		8,301,811	6,564,444

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Profit and loss account

PROFIT AND LOSS ACCOUNT (COMPARABLE VERSION)

(in thousands of PLN)

	Note	01.01.2022- 31.12.2022	01.01.2021- 31.12.2021
A. Net revenues on sales and equivalents	21	19,764,769	13,339,312
- from related entities		37,175	10,933
I. Net revenue on sales of products and services		75,320	31,173
IV. Net revenue on sales of goods and materials		19,689,449	13,308,139
B. Operating expenses		18,492,312	12,560,574
I. Depreciation and amortization		232,248	183,672
II. Consumption of materials and energy		344,555	179,437
III. External services		834,104	625,513
IV. Taxes and fees, including:		339,055	229,483
V. Employee benefits		1,582,184	1,165,404
VI. Social security and other benefits, of which:		375,133	276,151
- pension		137,475	101,308
VII. Other costs by nature		76,214	52,980
VIII. Cost of goods and materials sold		14,708,819	9,847,934
C. Sales profit (loss) (A – B)		1,272,457	778,738
D. Other operating income	27	14,262	12,755
I. Profit on disposal of non-financial non-current assets		-	-
II. Grants		-	34
III. Revaluation of non-financial assets		-	-
IV. Other operating income		14,262	12,721
E. Other operating expenses	28	15,453	11,211
I. Loss on disposal of non-financial non-current assets		13,511	4,836
II. Revaluation of non-financial assets		-	-
III. Other operating expenses		1,942	6,375
F. Operating profit (loss) (C+D-E)		1,271,266	780,282
G. Financial income	29	9,979	5,757
I. Dividends i profit sharing		-	-
II. Interest, including:		4,349	4,309
- from related entities		1,729	4,257
III. Profit on disposal of financial assets		-	-
IV. Revaluation of financial assets		-	-
V. Other		5,630	1,448
H. Financial expenses	30	175,008	55,441
I. Interest, including:		120,537	45,935
- to related entities		2,714	772
II. Loss on disposal of financial assets, including:		-	-
III. Revaluation of financial assets		-	-
IV. Other		54,471	9,506
I. Profit / (loss) before tax (F + G - H)		1,106,237	730,598
J. Income tax	26	211,651	139,381
K. Other mandatory decreases of profit (increases of loss)		-	-
L. Net profit (loss) (I – J – K)		894,586	591,217

The profit and loss account should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Statement of changes in equity

STATEMENT OF CHANGES IN EQUITY

<i>(in thousands of PLN)</i>	<i>Note</i>	01.01.2022- 31.12.2022	01.01.2021- 31.12.2021
I. Equity at the beginning of the period (OB)		2,307,424	1,716,207
I.a. Equity at the beginning of the period (OB), adjusted		2,307,424	1,716,207
1. Share capital at the beginning of the period		9,804	9,804
1.1. Movement in share capital		-	-
1.2. Share capital at the end of the period	10	9,804	9,804
2. Supplementary capital at the beginning of the period		1,676,055	1,208,019
2.1. Changes to supplementary capital		591,217	468,036
(i) increase		591,217	468,036
- profit distribution	12.1	591,217	468,036
b) decrease		-	-
2.2. Balance of supplementary capital at the end of the period		2,267,272	1,676,055
3. Revaluation reserve at the beginning of the period		-	-
3.1. Changes in the revaluation reserve		-	-
3.2. Revaluation reserve at the end of the period		-	-
4. Other reserve capital at the beginning of the period		-	-
4.1. Change in other reserve capital		-	-
4.2. Other reserve capital at the end of the period		-	-
5. Profit (loss) brought forward at the beginning of the period		591,217	468,036
5.1. Profit brought forward at the beginning of the period		591,217	468,036
5.2. Profit brought forward at the beginning of the period, adjusted		591,217	468,036
(i) increase		-	-
b) decrease		(591,217)	(468,036)
- profit distribution - transfer to supplementary capital	12.1	(591,217)	(468,036)
5.3. Profit brought forward at the end of the period		-	-
5.4. Loss brought forward at the beginning of the period		-	-
5.5. Loss brought forward at the beginning of the period, adjusted		-	-
(i) increase		-	-
b) decrease		-	-
5.6. Losses brought forward at the end of the period		-	-
5.7. Profit (loss) brought forward at the end of the period		-	-
6. Net result		894,586	591,217
a) net profit		894,586	591,217
b) net loss		-	-
c) charges to profit		-	-
7. Other items of equity at the beginning of the period		30,348	30,348
7. Other items of equity at the end of the period		30,348	30,348
8. Charges to net profit during the financial year (negative figure)		-	-
II. Equity at the end of the period (CB)		3,202,010	2,307,424
III. Equity after considering the proposed distribution of profits (coverage of losses)		3,202,010	2,307,424

The statement of changes in equity should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Statement of cash flows

STATEMENT OF CASH FLOWS (INDIRECT METHOD)

(in thousands of PLN)

	Note	01.01.2022- 31.12.2022	01.01.2021- 31.12.2021
A. Cash flow from operating activities			
I. Net profit (loss)		894,586	591,217
II. Total adjustments		128,059	582,862
1. Depreciation and amortization		232,248	183,672
2. Gains (losses) arising from changes in foreign currency exchange rates		-	-
3. Interest and profit sharing (dividends)	35	169,566	66,352
4. Profit (loss) on investing activity		13,511	4,836
5. Movement in provisions		31,011	15,981
6. Movement in inventories		(573,966)	(496,686)
7. Movement in receivables	35	(150,536)	(38,682)
8. Movement in current liabilities, except for loans and borrowings	35	407,396	852,580
9. Movement in prepayments, accruals and deferred revenue		(1,171)	(5,191)
III. Net cash flow from operating activities (I±II)		1,022,645	1,174,079
B. Cash flow from investing activities			
I. Inflows		458,737	269,338
1. Sale of intangible assets and property, plant and equipment		20,268	3,154
2. Sale of investments in real property and intangible assets		-	-
3. From financial assets, of which:		438,469	266,184
a) in related entities		435,850	266,133
b) in other entities		2,619	51
- interest		2,619	51
II. Outflows		(1,794,818)	(1,473,363)
1. Purchase of intangible assets and property, plant and equipment		(1,273,215)	(1,202,135)
2. Investments in real property and intangible assets		-	-
3. Towards financial assets, of which:		(521,603)	(271,228)
a) in related entities		(521,603)	(271,228)
III. Net cash flow from investing activities (I-II)		(1,336,081)	(1,204,025)
C. Cash flow from financing activities			
I. Inflows		899,812	271,636
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions		-	-
2. Loans and borrowings		729,812	71,636
3. Issue of debt securities		170,000	200,000
II. Outflows		(624,616)	(285,066)
1. Purchase of treasury shares		-	-
2. Dividends and other distributions to owners		-	-
3. Profit-sharing expenditures other than distributions to owners		-	-
4. Repayment of loans and borrowings		(296,638)	(193,465)
5. Redemption of debt securities		(170,000)	-
6. On account of other financial liabilities		-	-
7. Payment of finance lease liabilities		(18,600)	(29,194)
8. Interest		(110,697)	(45,291)
9. Other financial expenditures		(28,681)	(17,116)
III. Net cash from financing activities (I-II)		275,196	(13,430)
D. Total net cash flow (A.III±B.III±C.III)		(38,240)	(43,376)
E. Balance sheet movement in cash, including		(38,240)	(43,376)
- movement in cash arising from changes in foreign currency exchange rates		-	-
F. Cash at the beginning of the period		380,269	423,645
G. Cash at the end of the period (F±D), including	34	342,029	380,269
- restricted cash		26	326

The statement of cash flows should be analyzed together with notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Notes and explanations

FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2022- 31.12.2022</i>	<i>01.01.2021- 31.12.2021</i>	<i>01.01.2022- 31.12.2022</i>	<i>01.01.2021- 31.12.2021</i>
Sales revenue	19,764,769	13,339,312	4,215,765	2,914,104
Operating profit	1,271,266	780,282	271,157	170,460
Profit before tax	1,106,237	730,598	235,957	159,606
Net profit	894,586	591,217	190,812	129,157
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	9.12	6.03	1.95	1.32
Cash flow from operating activities	1,047,877	1,174,079	218,127	256,489
Cash flow from investing activities	(1,336,081)	(1,204,025)	(284,982)	(263,031)
Cash flow from financing activities	249,964	(13,430)	58,698	(2,934)
Net change in cash and cash equivalents	(38,240)	(43,376)	(8,156)	(9,476)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate in 2022: PLN 4.6883/EUR
- NBP's average exchange rate in 2021: PLN 4.5775/EUR

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>as at 31 December 2022</i>	<i>as at 31 December 2021</i>	<i>as at 31 December 2022</i>	<i>as at 31 December 2021</i>
Total assets	8,301,811	6,564,444	1,770,147	1,427,239
Total non-current assets	5,454,529	4,480,034	1,163,037	974,047
Total current assets	2,847,282	2,084,410	607,109	453,192
Equity	3,202,010	2,307,424	682,746	501,679
Share capital	9,804	9,804	2,090	2,132
Non-current liabilities	911,067	923,671	194,261	200,824
Current liabilities	4,011,985	3,210,864	855,452	698,105

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2022: 4.6148 PLN/EUR
- NBP's average exchange rate as at 31 December 2021: 4.5994 PLN/EUR

NOTES AND EXPLANATIONS

1. INFORMATION ABOUT SIGNIFICANT EVENTS CONCERNING THE PREVIOUS YEARS CAPTURED IN THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR

Up to the date of preparing the financial statements for the financial year, no significant events occurred during previous years that should be captured in the financial year's financial statements.

2. INFORMATION ABOUT SIGNIFICANT EVENTS THAT OCCURRED AFTER THE BALANCE SHEET DATE AND THAT HAVE NOT BEEN CAPTURED IN THE FINANCIAL STATEMENTS

After the balance sheet date and up to the date of drawing up the financial statements for the financial year, no significant events other than described in Note 48 occurred that were not captured in the financial year's financial statements.

3. CHANGES IN THE ACCOUNTING PRINCIPLES (POLICIES) IN THE FINANCIAL YEAR

Financial statements for the current and previous financial year have been prepared using the same accounting principles (policies).

4. CORRECTION OF ERRORS

During the financial year there were no corrections of errors which could have impact on comparability of the financial data for the previous year and the data from the financial statements for the current financial year.

5. COMPARABILITY OF THE FINANCIAL DATA FOR THE PREVIOUS YEAR AND THE DATA FROM THE FINANCIAL STATEMENTS FOR THE CURRENT FINANCIAL YEAR

In the current year the Company did not make any changes to the accounting policies or correct any errors and consequently it was not obligated to present figures ensuring comparability of the financial statements for the previous financial year with the financial statements for the current financial year.

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Notes and explanations

6. INTANGIBLE ASSETS

Year ended 31 December 2022

<i>(in thousands of PLN)</i>	<i>Costs of completed development work</i>	<i>Goodwill</i>	<i>Other intangible assets</i>	<i>Advance payments towards intangible assets</i>	<i>Total</i>
<u>Initial value</u>					
Opening balance	-	-	56,774	-	56,774
Increases, including:	-	-	3,844	-	3,844
Purchase	-	-	3,844	-	3,844
Decreases	-	-	-	-	-
Closing balance	-	-	60,618	-	60,618
<u>Depreciation</u>					
Opening balance	-	-	35,288	-	35,288
Increases, including:	-	-	6,450	-	6,450
Depreciation in the period	-	-	6,450	-	6,450
Decreases	-	-	-	-	-
Closing balance	-	-	41,738	-	41,738
<u>Net value</u>					
Opening balance	-	-	21,486	-	21,486
Closing balance	-	-	18,880	-	18,880

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Costs of completed development work</i>	<i>Goodwill</i>	<i>Other intangible assets</i>	<i>Advance payments towards intangible assets</i>	<i>Total</i>
<u>Initial value</u>					
Opening balance	-	-	53,776	-	53,776
Increases, including:	-	-	2,998	-	2,998
Purchase	-	-	2,998	-	2,998
Decreases	-	-	-	-	-
Closing balance	-	-	56,774	-	56,774
<u>Depreciation</u>					
Opening balance	-	-	29,146	-	29,146
Increases, including:	-	-	6,142	-	6,142
Depreciation in the period	-	-	6,142	-	6,142
Decreases	-	-	-	-	-
Closing balance	-	-	35,288	-	35,288
<u>Net value</u>					
Opening balance	-	-	24,630	-	24,630
Closing balance	-	-	21,486	-	21,486

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Notes and explanations

7. PROPERTY, PLANT AND EQUIPMENT

Year ended 31 December 2022

<i>(in thousands of PLN)</i>	<i>Land</i>	<i>- including perpetual usufruct right to land*</i>	<i>Buildings, premises, rights to premises and civil and marine engineering facilities</i>	<i>Technical equipment and machinery</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Advances towards fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January	705,731	34,801	1,981,308	717,639	145,930	433,250	267,648	2,123	4,253,629
Purchases	-	-	-	-	-	-	1,189,831	3,520	1,193,351
Sales	(280)	-	(82)	(2,619)	(3,175)	(508)	(1,025)	-	(7,689)
Liquidation	(3)	-	(2,519)	(7,111)	(995)	(7,860)	(12,089)	-	(30,577)
Transformation of the right of perpetual usufruct to land into the right of ownership	8,570	(8,570)	-	-	-	-	-	-	8,570
Transfer from fixed assets under construction	135,710	9,206	580,830	228,090	66,467	126,050	(1,140,991)	-	(3,844)
Gross value as at 31 December	849,728	35,437	2,559,537	935,999	208,227	550,932	303,374	5,643	5,413,440
Accumulated depreciation and impairment losses as at 1 January	-	-	117,082	256,124	49,105	193,402	-	-	615,713
Depreciation charge for the period	-	-	58,788	88,716	16,114	62,180	-	-	225,798
Sales	-	-	(1)	(1,353)	(878)	(407)	-	-	(2,639)
Liquidation	-	-	(378)	(6,727)	(852)	(7,677)	-	-	(15,634)
Accumulated depreciation and impairment losses as at 31 December	-	-	175,491	336,760	63,489	247,498	-	-	823,238
Net value as at 1 January	705,731	34,801	1,864,226	461,515	96,825	239,848	267,648	2,123	3,637,916
Net value as at 31 December	849,728	35,437	2,384,046	599,239	144,738	303,434	303,374	5,643	4,590,202

DINO POLSKA S.A.
Financial statements for the year ended 31 December 2022
Notes and explanations

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Land</i>	<i>- including perpetual usufruct right to land*</i>	<i>Buildings, premises, rights to premises and civil and marine engineering facilities</i>	<i>Technical equipment and machinery</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Advances towards fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January	494,972	31,018	1,430,378	519,866	115,996	352,095	170,961	-	3,084,268
Purchases	-	-	-	-	-	-	1,241,393	2,123	1,243,516
Sales	(1,752)	-	(17,099)	(3,071)	(1,105)	(279)	(579)	-	(23,885)
Liquidation	-	-	(2,171)	(7,022)	(2,441)	(34,261)	(4,375)	-	(50,270)
Transformation of the right of perpetual usufruct to land into the right of ownership	8,157	(8,157)	-	-	-	-	-	-	-
Transfer from fixed assets under construction	204,354	11,940	570,200	207,866	33,480	115,695	(1,139,752)	-	-
Gross value as at 31 December	705,731	34,801	1,981,308	717,639	145,930	433,250	267,648	2,123	4,253,629
Accumulated depreciation and impairment losses as at 1 January	-	-	74,650	195,173	38,623	177,872	-	-	486,318
Depreciation charge for the period	-	-	43,811	69,486	14,233	50,000	-	-	177,530
Sales	-	-	(1,304)	(2,492)	(828)	(234)	-	-	(4,858)
Liquidation	-	-	(75)	(6,043)	(2,923)	(34,236)	-	-	(43,277)
Accumulated depreciation and impairment losses as at 31 December	-	-	117,082	256,124	49,105	193,402	-	-	615,713
Net value as at 1 January	494,972	31,018	1,355,728	324,693	77,373	174,223	170,961	-	2,597,950
Net value as at 31 December	705,731	34,801	1,864,226	461,515	96,825	239,848	267,648	2,123	3,637,916

* The liquidation of the perpetual usufruct right to land pertains to the transformation of perpetual usufruct into the right of ownership.

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As at 31 December 2022, the value of land in perpetual usufruct was PLN 35,437 thousand (PLN 34,801 thousand as at 31 December 2021).

As at 31 December 2022, fixed assets with a net value of PLN 10,092 thousand were used on the basis of financial lease agreements (PLN 42,358 thousand as at 31 December 2021).

As at 31 December 2022, based on operational lease, rental, tenancy and other agreements (except for financial lease agreements), the Company used fixed assets with a value of approximately PLN 1,074,261 thousand (PLN 945,271 thousand as at 31 December 2021).

Capital expenditures carried out in the current financial year were PLN 1,193,351 thousand (PLN 1,243,516 thousand in 2021). In 2022 the capital expenditures for environmental protection totaled PLN 83 million (in 2021: PLN 35 million). Planned capital expenditures, including capital expenditures related to environmental production will total roughly PLN 939 million in 2023.

As at 31 December 2022 and 31 December 2021, the Company did not have any liabilities towards the state budget or local government units by virtue of obtaining the ownership right to buildings and structures or cost of service (including exchange gains and losses) of liabilities incurred to finance fixed assets under construction captured in the manufacturing cost (purchase price).

8. INVESTMENTS

8.1. Non-current investments

Year ended 31 December 2022

(in thousands of PLN)

	Real estate	Intangible assets	Long-term financial assets in related entities	Total
Opening balance, including:	-	-	755,831	755,831
Gross value	-	-	755,831	755,831
Increases, including:	-	-	-	-
Purchase	-	-	-	-
Other	-	-	-	-
Decreases, including:	-	-	-	-
Other	-	-	-	-
Closing balance, including:	-	-	755,831	755,831
Gross value	-	-	755,831	755,831

Year ended 31 December 2021

(in thousands of PLN)

	Real estate	Intangible assets	Long-term financial assets in related entities	Total
Opening balance, including:	-	-	755,831	755,831
Gross value	-	-	755,831	755,831
Increases, including:	-	-	-	-
Purchase	-	-	-	-
Other	-	-	-	-
Decreases, including:	-	-	-	-
Other	-	-	-	-
Closing balance, including:	-	-	755,831	755,831
Gross value	-	-	755,831	755,831

8.2. Current investments

Current investments, net of cash and other cash assets involve the following:

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<i>(in thousands of PLN)</i>	<i>Ownership interests and shares</i>	<i>Loans granted</i>	<i>Other - mortgage sureties</i>	<i>Total</i>
Opening balance, including:	-	154,393	453	154,846
Gross value	-	154,393	453	154,846
Increases, including:	-	521,674	5,542	527,216
Purchase	-	521,674	5,542	527,216
Decreases, including:	-	(434,191)	(2,227)	(436,418)
Other - repayments	-	(434,191)	(2,227)	(436,418)
Closing balance, including:	-	241,876	3,768	245,644
Gross value	-	241,876	3,768	245,644

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Ownership interests and shares</i>	<i>Loans granted</i>	<i>Other - mortgage sureties</i>	<i>Total</i>
Opening balance, including:	-	145,040	901	145,941
Gross value	-	145,040	901	145,941
Increases, including:	-	271,229	1,351	272,580
Granted	-	271,229	1,351	272,580
Decreases, including:	-	(261,876)	(1,799)	(263,675)
Other - repayments	-	(261,876)	(1,799)	(263,675)
Closing balance, including:	-	154,393	453	154,846
Gross value	-	154,393	453	154,846

9. ACCRUALS AND PREPAYMENTS

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
Deferred tax assets	89,616	64,801
Total non-current	89,616	64,801
Costs of rental-related fees	1,444	922
Insurance costs	1,275	1,480
Other	2,652	3,360
Total current	5,371	5,762

10. CAPITAL

As at 31 December 2022 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at 31 December 2021 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

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<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,160,000	51.16%	51.16%
Other shareholders	47,880,000	48.84%	48.84%
Total	98,040,000	100.00%	100.00%

31 December 2021

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,160,000	51.16%	51.16%
Other shareholders	47,880,000	48.84%	48.84%
Total	98,040,000	100.00%	100.00%

11. INTEREST-BEARING BANK CREDIT AND LOANS AND OTHER FINANCIAL LIABILITIES

The table below presents financial liabilities to unrelated entities. Transactions involving obtained loans and other payables to related entities are presented in Note 41.

(in thousands of PLN)

	31.12.2022	31.12.2021
<i>Current</i>		
Liabilities under finance lease agreements and hire-purchase agreements	2,720	13,410
Current account overdrafts	546	7,525
Investment loans	298,300	152,453
Bonds	260,947	171,642
Total current	562,513	345,030
<i>Non-current</i>		
Liabilities under finance lease agreements and hire-purchase agreements	360	8,270
Investment loans	540,707	465,401
Bonds	370,000	450,000
Total non-current	911,067	923,671

12. PROFIT DISTRIBUTION

12.1. Profit distribution for the previous year

The Ordinary Shareholder Meeting held on 24 June 2022 adopted a resolution to allocate the profit for the previous year to supplementary capital.

12.2. Profit distribution

The financial statements were prepared prior to the adoption of the resolution to distribute profit for the current year. The Company's Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

13. PROVISIONS

The following movements in provisions transpired in the reporting periods covered by the financial statements:

Year ended 31 December 2022

<i>(in thousands of PLN)</i>	<i>Deferred tax liability</i>	<i>Provision for pension and similar benefits</i>	<i>Total</i>
As at 1 January 2022	61,372	6,282	67,654
Increases	31,183	-	31,183
Reversal	-	(172)	(172)
As at 31 December 2022, including:	92,555	6,110	98,665
Non-current	92,555	5,240	97,795
Current	-	870	870

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Deferred tax liability</i>	<i>Provision for pension and similar benefits</i>	<i>Total</i>
As at 1 January 2021	47,916	3,757	51,673
Increases	13,456	2,525	15,981
Reversal	-	-	-
Utilization	-	-	-
As at 31 December 2021, including:	61,372	6,282	67,654
Non-current	61,372	4,426	65,798
Current	-	1,856	1,856

14. IMPAIRMENT LOSSES FOR RECEIVABLES

Year ended 31 December 2022

<i>(in thousands of PLN)</i>	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2022	-	1,109
Increases	-	517
- impairment losses for settlements	-	517
Utilization	-	(56)
- impairment losses for settlements	-	(56)
Reversal	-	(36)
- impairment losses for settlements	-	(36)
As at 31 December 2022	-	1,534

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2021	-	375
Increases	-	1,160
- on account of cash shortages	-	196
- impairment losses for settlements	-	964
Utilization	-	(389)
- on account of cash shortages	-	(56)
- impairment losses for settlements	-	(333)
Reversal	-	(37)
- impairment losses for settlements	-	(37)
As at 31 December 2021	-	1,109

15. NON-CURRENT LIABILITIES

Structure of the due and payable date of non-current liabilities:

Year ended 31 December 2022

<i>(in thousands of PLN)</i>	<i>up to 1 year</i>	<i>1 - 3 years</i>	<i>3 - 5 years</i>	<i>more than 5 years</i>	<i>Total</i>
Non-current liabilities to related entities	-	-	-	-	-
To other entities in which the company has equity exposure	-	-	-	-	-
Non-current liabilities to related entities, including:	562,513	781,491	97,433	32,143	1,473,580
a) bank loans and borrowings	298,846	411,131	97,433	32,143	839,553
b) for issue of debt securities	260,947	370,000	-	-	630,947
d) for finance leases	2,720	360	-	-	3,080
Non-current liabilities, total as at 31 December 2022	562,513	781,491	97,433	32,143	1,473,580

Year ended 31 December 2021

<i>(in thousands of PLN)</i>	<i>up to 1 year</i>	<i>1 - 3 years</i>	<i>3 - 5 years</i>	<i>more than 5 years</i>	<i>Total</i>
Non-current liabilities to related entities	-	-	-	-	-
To other entities in which the company has equity exposure	-	-	-	-	-
Non-current liabilities to related entities, including:	345,030	822,336	95,335	6,000	1,268,701
a) bank loans and borrowings	159,978	364,213	95,188	6,000	625,379
b) for issue of debt securities	171,642	450,000	-	-	621,642
d) for finance leases	13,410	8,123	147	-	21,680
Non-current liabilities, total as at 31 December 2021	345,030	822,336	95,335	6,000	1,268,701

16. SOCIAL ASSETS AND LIABILITIES

The Act on the Company Social Benefits Fund of 4 March 1994, as amended requires companies employing 50 or more people to establish and run a company social benefits fund.

Social assets and liabilities did not occur in the year ended 31 December 2022 and 31 December 2021. The Company does not assess or carry any assets in the Company Social Benefits Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated text of 31 October 2013, as amended).

17. ACCRUALS AND DEFERRED REVENUE

<i>(in thousands of PLN)</i>	<i>31.12.2022</i>	<i>31.12.2021</i>
1. Negative goodwill	-	-
2a. Total other non-current deferred revenue	-	-
2b. Total other current deferred revenue	78,084	54,831
Other, including:	78,084	54,831
- provision for unused holiday leave	77,864	54,626
- provision for auditing the financial statements	215	205
- other	5	-
Deferred revenue – total	78,084	54,831

18. LIABILITIES SECURED ON THE ENTITY'S ASSETS

Collateral in the form of a joint mortgage, an assignment of rights under an insurance policy and bills of exchange was established on its assets in connection with the bank loans and lease liabilities taken down by the Company.

19. CONTINGENT LIABILITIES, ALSO INCLUDING THE GUARANTEES AND SURETIES EXTENDED BY THE ENTITY, ALSO ON BILLS OF EXCHANGE

As at 31 December 2022 the Company had the following contingent liabilities:

1. surety for amortization of an overdraft agreement drawn down by Agro-Rydzyna sp. z o.o., agreement of 13 November 2018 entered into with BGŻ BNP Paribas SA for the amount of PLN 35,000 thousand. The loan has a floating interest rate. The final date of repayment is 31 March 2023. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 2 January 2020 entered into with PKO BP SA for the amount of PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 April 2023. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości 4 S.A., agreement of 5 June 2020 entered into with PKO BP SA for the amount of PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 5 September 2023. The surety covers the principal, interest on the principal and other costs.
4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 14 December 2021 entered into with PKO BP SA for the amount of PLN 91,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 July 2025. The surety covers the principal, interest on the principal and other costs.
5. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości 1 SA, agreement of 14 December 2021 entered into with PKO BP SA for the amount of PLN 91,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 July 2025. The surety covers the principal, interest on the principal and other costs.
6. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 23 June 2022 entered into with PEKAO S.A. for the amount of PLN 15,554 thousand. The loan has a floating interest rate. The final date of repayment is 23 March 2023. The surety covers the principal, interest on the principal and other costs.

As at 31 December 2021 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement of 15 January 2018 entered into with PKO BP S.A. for the amount of PLN 16,137 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an overdraft agreement drawn down by Agro-Rydzyna sp. z o.o., agreement of 13 November 2018 entered into with BGŻ BNP Paribas SA for the amount of PLN 35,000 thousand. The loan has a floating interest rate. The final date of repayment is 31 March 2023. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 2 January 2020 entered into with PKO BP SA for the amount of PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 April 2023. The surety covers the principal, interest on the principal and other costs.
4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości 4 S.A., agreement of 5 June 2020 entered into with PKO BP SA for the amount of PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 5 September 2023. The surety covers the principal, interest on the principal and other costs.
5. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 14 December 2021 entered into with PKO BP SA for the amount of PLN 91,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 July 2025. The surety covers the principal, interest on the principal and other costs. As at 31 December 2021 the loan was not originated.
6. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości 1 SA, agreement of 14 December 2021 entered into with PKO BP SA for the amount of PLN 91,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 July 2025. The surety covers the principal, interest on the principal and other costs. As at 31 December 2021 the loan was not originated.

20. OTHER AGREEMENTS NOT INCORPORATED IN THE BALANCE SHEET

As at 31 December 2022 and as at 31 December 2021 the Company did not have any material off-balance sheet liabilities not disclosed in the financial statements.

21. SALES SPLIT BY NATURE AND TERRITORY

The sales revenue split by nature in 2022 and 2021 was as follows:

<i>Type of activity (in thousands of PLN)</i>	01.01.2022-31.12.2022	01.01.2021-31.12.2021
1. Sales of services	75,320	31,173
2. Sales of merchandise	19,689,449	13,308,139
Net sales revenue, total	19,764,769	13,339,312

All the sales revenues in the current and previous financial year were generated domestically.

22. IMPAIRMENT LOSSES FOR FIXED ASSETS

The Company did not take any impairment losses for fixed assets.

23. INTEREST AND FX GAINS AND LOSSES ADDED TO THE PRICE OF BUYING MERCHANDISE OR THE COST OF MANUFACTURING PRODUCTS IN THE FINANCIAL YEAR

In the financial year ending 31 December 2022 and in the previous year the Company did not add interest or FX gains and losses to the price of buying merchandise or the cost of manufacturing products.

24. INVENTORIES AT PURCHASE PRICE

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
1. Materials	42,160	31,575
2. Merchandise	1,928,912	1,351,348
Total inventories at purchase price	1,971,072	1,382,923
Impairments for inventories	(52,803)	(38,620)
Total inventories at net value	1,918,269	1,344,303

25. INFORMATION CONCERNING REVENUES, EXPENSES AND THE RESULTS OF DISCONTINUED ACTIVITY IN THE FINANCIAL YEAR OR OF ACTIVITY THAT IS EXPECTED TO BE DISCONTINUED IN THE SUBSEQUENT YEAR

The Company did not discontinue any activity in the financial year, nor does it intend to discontinue any type of activity in the following year.

26. INCOME TAX

The reconciliation of profit before tax to taxable income is as follows:

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<i>(in thousands of PLN)</i>	01.01.2022- 31.12.2022	01.01.2021- 31.12.2021
Gross profit (loss) for the year	1,106,237	730,598
Tax exempt revenues (permanent differences between profit/loss for accounting purposes and the profit/loss for taxation purposes) including:	-	-
Revenues not subject to taxation in the current year, including:	(87,083)	(28,174)
- accrued interest	(1,945)	(398)
- foreign exchange gains	(37)	(310)
- inventory adjustment at purchase price	2,149	1,388
- deferred income	(88,082)	(27,315)
- discount of trade payables	832	(1,539)
Revenues subject to taxation in the current year, recognized in the accounting ledgers of previous years, including:	1,070	9,992
- interest on loan agreements / accrued interest	83	9,962
- foreign exchange gains	310	30
- other (derecognized provisions)	677	-
Expenses not constituting tax-deductible expenses (permanent differences between profit/loss for accounting purposes and the profit/loss for taxation purposes) including:	8,326	5,799
- other (including interest, donations, other costs)	8,326	5,799
Expenses not recognized as tax-deductible expenses in the current year, including:	115,624	87,280
- differences between depreciation for tax purposes and for balance sheet purposes	(62,869)	(34,773)
- provision for unused holiday leave and other employee benefits (including salaries / bonuses)	34,066	26,128
- social security contributions, payroll for November - December	56,399	42,134
- mandate contracts paid in the subsequent year	1,041	648
- finance leases / operation leases in the balance sheet	(10,977)	(19,342)
- provision for other expenses (including security services, energy costs, liabilities requiring safety deposits)	81,570	69,619
- accrued interest, foreign exchange gains and losses	16,394	2,866
Expenses recognized as tax-deductible expenses in the current year, recognized in the accounting ledgers of previous years, including:	(67,260)	(46,182)
- provision for employee benefits / bonuses	(8,000)	(8,462)
- social security contributions, payroll for November - December	(42,134)	(31,549)
- mandate contracts paid in the subsequent year	(937)	(535)
- provision for other costs (including energy)	(8,814)	(3,029)
- other (including interest, foreign exchange gains and losses)	(7,375)	(2,607)
Taxable income	1,076,914	759,313
Income deductions	481	3,430
Taxable income	1,076,433	755,883
Income tax	204,522	143,618
Other changes	761	591
Movement in the provision / deferred tax asset	6,368	(4,828)
Total income tax	211,651	139,381

Regulations regarding VAT, corporate and personal income tax and social security contributions are subject to frequent changes. As a result, there is frequently no reference to entrenched regulations or legal precedents. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations between government authorities and between government authorities and companies. Tax settlements and others (e.g. customs or foreign currency related issues) may be subject to inspection by administrative authorities authorized to impose high penalties, and any additional liabilities assessed as a result of such an inspection must be paid together plus high interest. These conditions mean that the tax risk in Poland is higher than usually exists in countries with a more mature fiscal system. Tax settlements may be subject to inspection for five years. As a result, the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities.

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Differences by virtue of the following form part of the provision / deferred tax asset:

<i>(in thousands of PLN)</i>	<i>Balance sheet</i>		<i>Statement of profit or loss for the year ended</i>	
	<i>31.12.2022</i>	<i>31.12.2021</i>	<i>31.12.2022</i>	<i>31.12.2021</i>
Temporary difference in the value of fixed assets	53,338	39,057	14,281	10,018
Accrued interest as at the balance sheet date	422	68	354	(1,935)
Income for uninvoiced services	38,795	22,059	16,736	5,190
Other (including foreign exchange gains)	-	188	(188)	183
Deferred tax liability	92,555	61,372	31,183	13,456
Provisions for retirement severance benefits	1,161	1,194	(33)	480
Provision for unused holiday leave	14,794	10,379	4,415	2,965
Provision for employee benefits / bonuses	2,090	1,520	570	(87)
Mandate contracts paid in the subsequent year	101	122	(21)	(8)
Social security contributions	10,707	8,002	2,705	2,008
Difference in measurement of inventories	52,539	37,058	15,481	11,409
Provision for auditing the financial statements	41	39	2	19
Accrued interest as at the balance sheet date	4,443	2,481	1,962	(141)
Provision for other costs	3,740	4,006	(266)	1,639
Deferred tax assets	89,616	64,801	24,815	18,284
Deferred tax expense			6,368	(4,828)

27. OTHER OPERATING INCOME

<i>(in thousands of PLN)</i>	<i>01.01.2022-31.12.2022</i>	<i>01.01.2021-31.12.2021</i>
Grants	-	34
Other operating income, including:	14,262	12,721
- reversal of impairment losses for receivables	36	36
- received payments for damages	828	5,958
- income for making timely payments (0.3%)	219	190
- revenues on the sales of PMEF certificates	-	18
- rounding	-	258
- revenue related to the service of payment cards	3,209	1,860
- other	9,970	4,401
Other operating income, total	14,262	12,755

28. OTHER OPERATING EXPENSES

<i>(in thousands of PLN)</i>	<i>01.01.2022-31.12.2022</i>	<i>01.01.2021-31.12.2021</i>
Loss on disposal of non-financial non-current assets, including:	13,511	4,836
- loss on the disposal of fixed assets and intangible assets	13,511	4,836
Other operating expenses, including:	1,942	6,375
- losses resulting from inventory shortages	-	657
- donations	830	3,652
- other	595	906
- written off receivables	517	1,160
Other operating expenses, total	15,453	11,211

29. FINANCIAL INCOME

<i>(in thousands of PLN)</i>	<i>01.01.2022-31.12.2022</i>	<i>01.01.2021-31.12.2021</i>
Interest, including:	4,349	4,309
- interest from related companies	1,729	4,257
- bank interest	2,620	52
Other, including:	5,630	1,448
- foreign exchange gains and losses	-	96
- mortgage collateral	5,630	1,352
Financial income, total	9,979	5,757

30. FINANCIAL EXPENSES

<i>(in thousands of PLN)</i>	<i>01.01.2022-31.12.2022</i>	<i>01.01.2021-31.12.2021</i>
Interest, including:	120,537	45,935
- interest paid to related companies	2,714	772
- interest on trade payables	15,523	24,407
- bank interest	60,310	12,275
- interest on lease agreements	1,094	616
- interest on bonds	40,282	7,812
- other interest	614	53
Other, including:	54,471	9,506
- other financial expenses (commissions, sureties)	54,471	9,506
Financial expenses, total	175,008	55,441

31. THE VALUE OF FOOD GIVEN TO NON-GOVERNMENTAL ORGANIZATIONS FOR THESE ORGANIZATIONS TO USE TO DISCHARGE THE TASKS FALLING WITHIN THE SCOPE PRESCRIBED BY ART. 2 ITEM 2 OF THE ACT OF 19 JULY 2019 ON MITIGATING THE WASTE OF FOOD (JOURNAL OF LAWS, ITEM 1980)

The value of food given to non-governmental organizations in 2022 was PLN 3,306 thousand (in 2021: PLN 1,894 thousand) and was recognized in the financial statements as an operating expense.

32. COST OF MANUFACTURING FIXED ASSETS UNDER CONSTRUCTION

<i>(in thousands of PLN)</i>	<i>Year ended 31.12.2022</i>	<i>Year ended 31.12.2021</i>
Cost of manufacturing fixed assets under construction, including:	29,369	23,848
- costs of the investment department	29,369	23,848

33. INCOME AND COSTS OF AN EXTRAORDINARY AMOUNT OR THAT OCCURRED INCIDENTALLY

In the financial year ending 31 December 2022 and in the previous year there were no extraordinary revenue or costs or that occurred incidentally.

34. COMPOSITION OF CASH IN THE STATEMENT OF CASH FLOWS

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
Cash in the bank	38,956	71,561
- current accounts	38,956	71,561
Cash on hand	48,836	46,112
Other cash	254,237	262,596
- current deposits	210,487	248,455
- cash <i>en route</i>	43,750	14,141
Cash, total	342,029	380,269

The cash on VAT accounts is restricted cash. As at 31 December 2022 the amount of this cash was PLN 26 thousand (PLN 326 thousand in 2021).

35. REASONS FOR DIFFERENCES BETWEEN THE BALANCE SHEET MOVEMENTS IN SOME LINE ITEMS AND THE MOVEMENTS FOLLOWING FROM THE STATEMENT OF CASH FLOWS

<i>Interest and profit sharing (in thousands of PLN)</i>	01.01.2022-31.12.2022	01.01.2021-31.12.2021
Result on financing activity for interest	116,188	41,626
Financial expenses - commissions and sureties received	53,378	24,726
Interest and profit sharing in the statement of cash flows	169,566	66,352

<i>Receivables (in thousands of PLN)</i>	01.01.2022-31.12.2022	01.01.2021-31.12.2021
Balance sheet movement in net non-current and current receivables	(136,739)	(56,711)
Movement in receivables on the sale of fixed assets	(13,797)	18,029
Movement in receivables in the statement of cash flows	(150,536)	(38,682)

<i>Liabilities (in thousands of PLN)</i>	01.01.2022-31.12.2022	01.01.2021-31.12.2021
Balance sheet movement of current and non-current liabilities	788,517	953,741
Balance sheet movement of current and non-current loans and borrowings	(433,174)	121,830
Movement in finance lease liabilities	18,600	29,117
Movement in liabilities for the fees for received sureties	(28,547)	(7,807)
Movement in settlements on the purchase of fixed assets	71,305	(44,301)
Movement in bonds	(9,305)	(200,000)
Movement in liabilities in the statement of cash flows	407,396	852,580

36. INFORMATION CONCERNING HEADCOUNT WITH A BREAKDOWN INTO OCCUPATIONAL GROUPS

<i>Group of employees</i>	Year ended 31.12.2022	Year ended 31.12.2021
Management Board	3	3
White-collar employees	2,693	2,382
Blue-collar employees	32,703	28,137
Headcount, total	35,399	30,522

37. INFORMATION ON THE AUDIT FIRM'S FEES

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2022 and 31 December 2021 split by the types of services:

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<i>Type of services</i>	<i>Year ended 31.12.2022</i>	<i>Year ended 31.12.2021</i>
Obligatory audit of the annual financial statements	309	295
Review of the interim financial statements	116	110
Other services	14	14
Tax advisory services	-	-
Total, including:	439	419
- due as at the balance sheet date	215	219
- paid as at the balance sheet date	224	200

38. INFORMATION CONCERNING COMPENSATION, INCLUDING COMPENSATION FROM PROFIT AND PENSION BENEFITS PAID OR DUE TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES

The compensation of the persons in the Company's managing and supervising or administering bodies was as follows:

<i>Employee benefits (in thousands of PLN)</i>	<i>Year ended 31.12.2022</i>	<i>Year ended 31.12.2021</i>
Company's Management Board	2,450	1,635
Supervisory Board	346	346
Compensation, total	2,796	1,981

39. INFORMATION ABOUT LOANS AND BENEFITS OF A SIMILAR NATURE EXTENDED TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES

In the financial year ending 31 December 2022 and in the previous year the Company did not extend any loans or benefits of a similar nature to persons in the managing and supervising or administering bodies.

40. INFORMATION ABOUT JOINT VENTURES NOT SUBJECT TO CONSOLIDATION

The Company did not undertake any joint ventures not subject to consolidation.

41. INFORMATION ABOUT THE GROUP AND TRANSACTIONS WITH RELATED ENTITIES

a) Group

The Company functions within the Dino Polska Group.

The Company prepares consolidated financial statements for the group in which it is the parent company.

b) Transactions with other related parties, including parties along with the Company that are under the parent company's joint control

The size of transactions with subsidiaries and associates was as follows:

"Agro-Rydzyna" spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>Year ended 31.12.2022</i>	<i>Year ended 31.12.2021</i>
	<i>Total</i>	<i>Total</i>
Purchases	2,369,047	1,522,317
Sales	45,980	14,438
Sales - sureties	1,863	-
Other sales	649	17,794

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<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	31,309	3,571
Payables on account of goods, work and services	478,601	409,496
Other receivables	795	21,887
Other payables	3,175	-
Receivables for mortgage sureties	1,718	-

Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	Year ended 31.12.2022	Year ended 31.12.2021
	<i>Total</i>	<i>Total</i>
Purchases	72,628	42,119
Sales	1,907	1,703
Sales - sureties	1,745	677
Interest – financial income	1,479	2,250

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	694	506
Payables on account of goods, work and services	17,963	6,623
Loans granted	201,794	147,315
Receivables for mortgage sureties	1,091	338
Other payables	9,746	5,011

Centrum Wynajmu Nieruchomości I S.A.

<i>(in thousands of PLN)</i>	Year ended 31.12.2022	Year ended 31.12.2021
	<i>Total</i>	<i>Total</i>
Purchases	44,278	27,923
Sales	28	78
Other sales	-	3
Sales - sureties	1,044	-
Interest - financial expenses	1,141	-
Interest – financial income	2	1,135

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	4	6
Payables on account of goods, work and services	11,303	10,214
Loans granted	-	5,041
Loans received	77,027	-
Receivables for mortgage sureties	430	-
Other receivables	-	3
Other payables	6,160	99

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Centrum Wynajmu Nieruchomości 2 S.A.

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	21,780	16,889
Sales	35	38
Interest - financial expenses	574	-
Interest – financial income	-	67

	31.12.2022	31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	7	14
Payables on account of goods, work and services	4,833	4,679
Loans received	25,089	-
Other payables	3,192	646

Centrum Wynajmu Nieruchomości 3 S.A.

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	19,218	14,875
Sales	14	21
Interest - financial expenses	94	153

	31.12.2022	31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	4	5
Payables on account of goods, work and services	4,333	4,178
Loans received	40,094	-
Other payables	2,301	558

Centrum Wynajmu Nieruchomości 4 S.A.

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	37,943	28,449
Sales	21	59
Sales - sureties	521	675
Interest - financial expenses	227	-
Interest – financial income	-	202

	31.12.2022	31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	12	5
Payables on account of goods, work and services	9,577	8,728
Loans received	8,027	38
Receivables for mortgage sureties	72	115
Other payables	5,162	760

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Centrum Wynajmu Nieruchomości 5 S.A.

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	17,959	13,430
Sales	17	25
Interest - financial expenses	176	263
	<i>31.12.2022</i>	<i>31.12.2021</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	8	5
Payables on account of goods, work and services	3,929	3,799
Loans received	47,120	-
Other payables	2,831	499

Centrum Wynajmu Nieruchomości 6 S.A.

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	19,980	15,553
Sales	14	26
Interest - financial expenses	52	106
	<i>31.12.2022</i>	<i>31.12.2021</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	4	5
Payables on account of goods, work and services	4,411	1,506
Loans received	22,052	-
Other payables	2,709	488

PIK Finanse spółka z ograniczoną odpowiedzialnością

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	111	-
Sales	14	12
Other sales	3	-
	<i>31.12.2022</i>	<i>31.12.2021</i>
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	5	5
Loans received	7,775	10,775
Other receivables	3	-

Dino Krotoszyn spółka z ograniczoną odpowiedzialnością

	<i>Year ended</i> 31.12.2022	<i>Year ended</i> 31.12.2021
<i>(in thousands of PLN)</i>	<i>Total</i>	<i>Total</i>
Purchases	24,173	25,472
Sales	85	109
Sales - sureties	457	-
Interest - financial expenses	450	250

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<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	25	26
Payables on account of goods, work and services	10,289	12,414
Loans granted	-	33
Loans received	10,038	10,000
Receivables for mortgage sureties	457	-
Other payables	1,790	-

Dino Oil spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	Year ended 31.12.2022	Year ended 31.12.2021
	<i>Total</i>	<i>Total</i>
Sales	9	8
Other sales	8	-
Interest – financial income	166	25

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	2	2
Payables on account of goods, work and services	569	-
Loans granted	5,000	2,004
Other receivables	8	-

Dino Północ spółka z ograniczoną odpowiedzialnością in liquidation

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	-	38

Dino Południe spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	Year ended 31.12.2022	Year ended 31.12.2021
	<i>Total</i>	<i>Total</i>
Purchases	68,205	65,618
Sales	150	184
Other sales	11	-
Interest – financial income	82	578

<i>(in thousands of PLN)</i>	31.12.2022	31.12.2021
	<i>Total</i>	<i>Total</i>
Receivables on account of goods, work and services	50	42
Payables on account of goods, work and services	34,301	20,132
Loans granted	35,082	-
Other receivables	2	-
Other payables	15	-

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Dino Najbliżej Ciebie Foundation

	Year ended 31.12.2022	Year ended 31.12.2021
(in thousands of PLN)	Total	Total
Sales	2	2
	31.12.2022	31.12.2021
	Total	Total
Receivables on account of goods, work and services	1	-

The amount of transactions with other parties related through people was:

Agrofirma Spółdzielcza

	Year ended 31.12.2022	Year ended 31.12.2021
(in thousands of PLN)	Total	Total
Purchases	219	221
Sales	15	14
	31.12.2022	31.12.2021
	Total	Total
Payables on account of goods, work and services	5	6

TBE spółka z ograniczoną odpowiedzialnością

	Year ended 31.12.2022	Year ended 31.12.2021
(in thousands of PLN)	Total	Total
Sales	5	5
	31.12.2022	31.12.2021
	Total	Total
Receivables on account of goods, work and services	1	-

Zakłady Mięsne "Biernacki" Tomasz Biernacki

	Year ended 31.12.2022	Year ended 31.12.2021
(in thousands of PLN)	Total	Total
Purchases	396	383
Sales	40	69
	31.12.2022	31.12.2021
	Total	Total
Receivables on account of goods, work and services	4	2
Payables on account of goods, work and services	33	14

Krot Invest KR Inżynieria sp. z o.o. SKA

	Year ended 31.12.2022	Year ended 31.12.2021
(in thousands of PLN)	Total	Total
Purchases	580,829	633,497
Sales	1,409	1,644
Other sales	108	9

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(in thousands of PLN)	31.12.2022	31.12.2021
	Total	Total
Receivables on account of goods, work and services	862	491
Payables on account of goods, work and services	31	36
Other payables	96,780	174,681

Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.

(in thousands of PLN)	Year ended 31.12.2022	Year ended 31.12.2021
	Total	Total
Purchases	48,529	35,559
Sales	8	4

(in thousands of PLN)	31.12.2022	31.12.2021
	Total	Total
Receivables on account of goods, work and services	1	-
Payables on account of goods, work and services	7,197	7,172
Other payables	732	1,257

42. TRANSACTIONS WITH OTHER RELATED PARTIES ON A NON-ARM'S LENGTH BASIS

Transactions concluded by the Company with its related entities in the year ended 31 December 2022 and in the preceding year were concluded on an arm's length basis.

43. LIST OF ENTITIES IN WHICH THE COMPANY IS A SHAREHOLDER INCURRING UNLIMITED MATERIAL LIABILITY

In the financial year ended 31 December 2022 and in the previous year the Company was not a shareholder incurring unlimited material liability in any entity.

44. LIST OF ENTITIES IN WHICH THE COMPANY HOLDS CAPITAL OR VOTES IN THE ENTITY'S DECISION-MAKING BODY

31 December 2022

Name of the entity	Registered office	Carrying value of the ownership interest / shares	Share in equity (%)	Net profit (loss) for the year ended	Equity as at
				31 December 2022	31 December 2022
"Agro-Rydzyna" sp. z o.o.	Poland, Kłoda	99,771	100%	105,473	441,443
Centrum Wynajmu Nieruchomości sp. z o.o.	Poland, Krotoszyn	28,451	100%	23,330	111,726
Dino Krotoszyn sp. z o.o.	Poland, Krotoszyn	4,000	100%	6,290	56,437
Dino Najbliżej Ciebie Foundation**	Poland, Krotoszyn	10	100%	-	-
Dino Oil Sp. z o.o.**	Poland, Krotoszyn	5	100%	247	1,000
Dino Południe sp. z o.o.	Poland, Krotoszyn	10,005	100%	9,015	56,682
Dino Północ sp. z o.o. in liquidation**	Poland, Krotoszyn	5	100%	(3)	1
Centrum Wynajmu Nieruchomości 1 S.A.	Poland, Krotoszyn	139,061	99%	23,535	219,045
Centrum Wynajmu Nieruchomości 2 S.A.	Poland, Krotoszyn	91,195	99%	14,866	160,051
Centrum Wynajmu Nieruchomości 3 S.A.	Poland, Krotoszyn	90,147	99%	13,848	154,381
Centrum Wynajmu Nieruchomości 4 S.A.	Poland, Krotoszyn	99,944	99%	19,643	175,839
Centrum Wynajmu Nieruchomości 5 S.A.	Poland, Krotoszyn	98,198	99%	13,620	160,337
Centrum Wynajmu Nieruchomości 6 S.A.	Poland, Krotoszyn	94,839	99%	13,489	156,583
PIK Finanse sp. z o.o.**	Poland, Krotoszyn	200	100%	2,185	13,931

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<i>Name of the entity</i>	<i>Registered office</i>	<i>Carrying value of the ownership interest / shares</i>	<i>Share in equity (%)</i>	<i>Net profit (loss) for the year ended 31 December 2021</i>	<i>Equity as at 31 December 2021</i>
"Agro-Rydzyna" sp. z o.o.	Poland, Kłoda	99,771	100%	97,018	335,969
Centrum Wynajmu Nieruchomości sp. z o.o.	Poland, Krotoszyn	28,451	100%	17,409	88,342
Dino Krotoszyn sp. z o.o.	Poland, Krotoszyn	4,000	100%	9,697	53,117
Dino Najbliżej Ciebie Foundation*	Poland, Krotoszyn	10	100%	-	-
Dino Oil sp. z o.o.*	Poland, Krotoszyn	5	100%	185	752
Dino Południe sp. z o.o.	Poland, Krotoszyn	10,005	100%	20,099	50,367
Dino Północ sp. z o.o.*	Poland, Krotoszyn	5	100%	(1)	(39)
Centrum Wynajmu Nieruchomości 1 S.A.	Poland, Krotoszyn	139,061	99%	20,250	195,510
Centrum Wynajmu Nieruchomości 2 S.A.	Poland, Krotoszyn	91,195	99%	10,089	145,146
Centrum Wynajmu Nieruchomości 3 S.A.	Poland, Krotoszyn	90,147	99%	9,156	140,497
Centrum Wynajmu Nieruchomości 4 S.A.	Poland, Krotoszyn	99,944	99%	14,810	156,147
Centrum Wynajmu Nieruchomości 5 S.A.	Poland, Krotoszyn	98,198	99%	9,030	146,681
Centrum Wynajmu Nieruchomości 6 S.A.	Poland, Krotoszyn	94,839	99%	9,442	143,058
PIK Finance sp. z o.o.*	Poland, Krotoszyn	200	100%	1,313	11,745

* Company not subject to audit by a statutory auditor

The percentage of voting rights corresponds to the shareholding in the share capital.

45. AVOIDANCE OF PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

The Company prepares consolidated financial statements.

46. MERGER OF COMMERCIAL COMPANIES

The company did not merge with other entities during the financial year ending 31 December 2022 and the previous year.

47. FINANCIAL INSTRUMENTS

Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

Liquidity risk

The Company monitors liquidity risk using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities.

The Company aims to maintain a balance between continuity and flexibility of financing by using different financing sources, such as overdrafts, bank loans, other loans, bond issues, lease contracts and reverse factoring. The Company utilizes reverse factoring agreements in reference to its liabilities to manage liquidity whereby it submits invoices for purchases from selected suppliers for the purpose of factoring. The Company mitigates the liquidity risk ensuing from the usage of reverse factoring agreements by collaborating with several factors and maintaining unused factoring limits. As at 31 December 2022 the factoring limit was PLN 1,304 million, with the unused limit totaling PLN 510 million (as at 31 December 2021 the respective limits were PLN 1,124 million and PLN 199 million). The payables in factoring at the end of the reporting period were PLN 794 million, while at the end of the prior reporting period they were PLN 925 million.

Interest rate risk

The Company's exposure to market risk caused by volatility of interest rates concerns primarily received loans and concluded lease contracts. The Company does not hedge its investment portfolio using financial derivatives.

Foreign exchange risk

Since a predominant part of the revenues and costs is on Polish zloty, the Company is not exposed to any material foreign exchange risk on account of its transactions.

Credit risk

Due to the nature of the Company (predominant part of the turnover is in cash) credit risk is insignificant. The Company does not use and hedging against credit risk. Potential credit risk pertains to trade receivables and granted loans, including loans granted to subsidiaries which, as at 31 December 2022, amount to PLN 241,876 thousand.

Interest income and costs following from concluded contracts

The table below presents the interest income and costs following from concluded contracts and pertaining to all of the Company's financial instruments, which were in the financial statements.

Year ended 31 December 2022

Financial asset / liability category (in thousands of PLN)	Realized interest	Accrued interest (unrealized)		
		up to 3 months	from 3 to 12 months	over 12 months
Granted loans and own receivables	2,404	1,945	-	-
Liabilities held for trading	15,523	-	-	-
Other current financial liabilities	88,685	16,329	-	-

Year ended 31 December 2021

Financial asset / liability category (in thousands of PLN)	Realized interest	Accrued interest (unrealized)		
		up to 3 months	from 3 to 12 months	over 12 months
Granted loans and own receivables	450	3,859	-	-
Liabilities held for trading	24,407	-	-	-
Other current financial liabilities	18,899	2,629	-	-

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Description of financial instruments

31 December 2022

	<i>Financial assets held to maturity</i>	<i>Granted loans and own receivables</i>	<i>Financial assets held for trading</i>	<i>Financial assets available for sale</i>	<i>Other financial liabilities</i>
Quantity of financial instruments	8	10	-	-	65
Value of financial instruments	210,487	241,876	-	-	1,473,580
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Current bank term deposits	Loans granted for up to one year, fixed interest rate	Current financing loans received from related entities for up to 4 years, fixed interest rate.		
			Operating and financial lease agreements entered into with, among others, ING Leasing and Santander Leasing - agreements concluded for a term ranging from 2 to 5 years. Loan agreements (notes 11, 18).		
			Outstanding bonds bearing interest at a floating-rate plus margin.		

31 December 2021

	<i>Financial assets held to maturity</i>	<i>Granted loans and own receivables</i>	<i>Financial assets held for trading</i>	<i>Financial assets available for sale</i>	<i>Other financial liabilities</i>
Quantity of financial instruments	5	8	-	-	185
Value of financial instruments	248,455	154,393	-	-	1,268,701
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Current bank term deposits	Loans granted for up to one year, fixed interest rate	Current financing loans received from related entities for up to 4 years, fixed interest rate.		
			Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, PKO Leasing, Santander Leasing - agreements concluded for a term from 2 to 5 years. Loan agreements (notes 11, 18)		
			Outstanding bonds bearing interest at a floating-rate plus margin.		

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Fair value

The Company believes that the carrying amounts of all the financial instruments presented in the financial statements are no different from their fair values.

	<i>Carrying amount</i>	
	31.12.2022	31.12.2021
Cash	342,029	380,269
Trade receivables	161,169	86,007
Other financial assets (non-current)	755,831	755,831
Total financial assets	1,259,029	1,222,107
<i>Financial liabilities</i>		
Trade payables	1,894,524	1,421,547
Trade payables in factoring, including supplier finance programs	793,971	924,631
Liabilities under finance lease agreements and hire-purchase agreements	3,080	21,680
Loans and borrowings based on a floating interest rate	839,553	625,379
Bonds	630,947	621,642
Total financial liabilities	4,162,075	3,614,879

48. EVENTS AFTER THE REPORTING PERIOD

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the financial statements.